

Award
FINRA Dispute Resolution Services

In the Matter of the Arbitration Between:

Claimants

Kestra Investment Services, LLC
and Kestra Financial, Inc.

Case Number: 25-00712

vs.

Respondent

James Francis Eddins, II

Hearing Site: New Orleans, Louisiana

Awards are rendered by independent arbitrators who are chosen by the parties to issue final, binding decisions. FINRA makes available an arbitration forum—pursuant to rules approved by the SEC—but has no part in deciding the award.

Nature of the Dispute: Member and Non-Member vs. Associated Person

REPRESENTATION OF PARTIES

For Claimants Kestra Investment Services, LLC (“KIS”), and Kestra Financial, Inc., collectively, “Claimants”: Lydia R. Zaidman, Esq., D’Amura & Zaidman, PLLC, Austin, Texas.

Respondent James Francis Eddins, II (“Respondent”) appeared pro se.

CASE INFORMATION

Statement of Claim filed on or about: April 4, 2025.

Claimants signed the Submission Agreement: August 5, 2025.

Respondent did not file a Statement of Answer or sign the Submission Agreement.

CASE SUMMARY

In the Statement of Claim, Claimants asserted the following causes of action: breach of contract and unjust enrichment. The causes of action related to Claimants’ allegation that Respondent entered into a Registered Representative Agreement and Investment Advisor Representative Agreement dated June 26, 2021, collectively, “Agreements”, and a promissory note dated July 25, 2021, (“Note”), and when Respondent’s employment with KIS ended, the balances under the Agreements and Note immediately became due and owing.

RELIEF REQUESTED

In the Statement of Claim, Claimants requested compensatory damages, in an amount to be determined at hearing, but not less than \$176,367.26, plus interest; attorneys’ fees and costs

and any other fees associated with collection, including fees associated with the instant arbitration; pre-judgment and post-judgment interest at the statutory rate and/or at the rate set forth in the Note; and for other such relief as the Arbitrator may deem just and proper.

OTHER ISSUES CONSIDERED AND DECIDED

The Arbitrator acknowledges having read the pleadings and other materials filed by the parties.

In an Order dated November 3, 2025, the Arbitrator ordered Respondent to register for the DR Portal and submit a Statement of Answer, if he intended to do so, by November 14, 2025. On November 4, 2025, Claimants filed correspondence requesting that Respondent not be given a third opportunity to file a Statement of Answer or, alternatively, be required to file a Statement of Answer within 24 hours at the latest. In an Order dated November 5, 2025, the Arbitrator vacated the Order dated November 3, 2025, and ordered Respondent to register for the DR Portal and file a Statement of Answer, if he intended to do so, by close of business on November 7, 2025.

On November 7, 2025, Respondent filed a Motion to Relocate Hearing to Alabama ("Motion to Relocate") and included allegations unrelated to Claimants' claims. On November 17, 2025, Claimants filed a response in opposition to the Motion to Relocate and responded to the allegations contained in Respondent's November 7, 2025, submission. In an Order dated November 25, 2025, the Arbitrator denied the Motion to Relocate and found that Respondent's filing failed to address the issues raised in Claimants' pleadings and, as a result, Respondent continued to be in default. In the same Order, the Arbitrator informed the parties that Respondent's failure to submit a detailed Statement of Answer to Claimants' Note claims, at issue herein, by close of business on December 2, 2025, would result in a judgment being granted for Claimants.

AWARD

After considering the pleadings, the Arbitrator has decided and determined in full and final resolution of the issues submitted for determination as follows:

1. Respondent is liable for and shall pay to Claimants the sum of \$181,517.14 in unpaid principle and accrued interest (as of December 22, 2025) on the Note.
2. Respondent is liable for and shall pay to Claimants the sum of \$14,531.18 for chargebacks and fees.
3. Respondent is liable for and shall pay to Claimants the sum of \$1,250.00 in costs.
4. Respondent is liable for and shall pay to Claimants the sum of \$13,171.50 in attorneys' fees pursuant to the terms of the Note.
5. Respondent is liable for and shall pay to Claimants interest on the above-stated sums at the rate of 7% per annum from the date the Award is served, through and including the date the Award is paid in full.
6. Respondent is liable for and shall pay to Claimant the sum of \$150.00 to reimburse Claimants for one-half of the Paper Decision Fee previously paid to FINRA DRS.

7. Any and all claims for relief not specifically addressed herein are denied.

FEES

Pursuant to the Code, KIS has paid to FINRA Dispute Resolution Services the \$2,210.00 Member Surcharge and \$4,225.00 Member Process Fee previously invoiced.

KIS has also paid to FINRA Dispute Resolution Services the \$1,250.00 non-refundable portion of the filing fee and the \$300.00 Paper Decision Fee.

ARBITRATOR

Lynne M. Gomez

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Sole Public Arbitrator

I, the undersigned Arbitrator, do hereby affirm that I am the individual described herein and who executed this instrument, which is my award.

Arbitrator's Signature

Lynne M. Gomez

Lynne M. Gomez
Sole Public Arbitrator

12/24/2025

Signature Date

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December 24, 2025

Date of Service (For FINRA Dispute Resolution Services use only)